CASCADIA ANALYTICS

Sea Limited

Equity Research Note | SE | 21
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One ecosystem, three compounding engines

Sea Limited screens as a Buy with a $110.29 blended target, 42% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$77.94	$110.29	+42%	BUY

Investment Thesis

One ecosystem, three compounding engines. Shopee commerce, Monee financial services, and Garena gaming share one user base across Southeast Asia, Taiwan, and Brazil. Commerce traffic feeds payments and credit, credit deepens commerce conversion, and Garena cash flow funds the build-out. Q2 2026 showed the flywheel at full speed with group revenue up 48.1% year on year to $7.79B [6-K]. Monetization, not just volume. Core marketplace revenue grew 48.9% in Q2 2026 against GMV growth of 28.4%, which means the take

- One ecosystem, three compounding engines
- Monetization, not just volume
- Credit is the swing factor

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The latest print

Monetization, not just volume. Core marketplace revenue grew 48.9% in Q2 2026 against GMV growth of 28.4%, which means the take rate is expanding through advertising, logistics, and value-added services rather than relying on order volume alone.

Credit is the swing factor. Monee loans outstanding reached $11.1B, up 62.5% year on year, with the 90+ day NPL ratio held at 1.0%. That book is the largest single source of upside and the largest single source of tail risk in the equity story.

$7.79B	$38.3B	$11.1B	1.0%	$763.5M	$27.72B
REVENUE (Q2 '26)	SHOPEE GMV (Q2 '26)	MONEE LOANS OUTSTANDING	90+ DAY NPL RATIO	GARENA BOOKINGS (Q2 '26)	TTM REVENUE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$7.79B	+48.1%	Up
Shopee GMV (Q2 '26)	$38.3B	+28.4%	Up
Monee Loans Outstanding	$11.1B	+62.5%	Up
90+ Day NPL Ratio	1.0%	Held stable	Flat
Garena Bookings (Q2 '26)	$763.5M	+15.5%	Up
TTM Revenue	$27.72B	FY2025 $22.94B	Up
Net Cash	$6.88B	Cash and ST investments $9.10B	Up

The moat

Shopee GMV of $38.3B in Q2 2026, up 28.4%, with gross orders up 27.5% to 4.2B

The growth engine

Monee revenue up 58.9% to $1.4B in Q2 2026 on a loan book of $11.1B

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	10.0%	$46.56B	11.0%	**$60.01**	-23%
Base	50%	16.0%	$57.58B	14.5%	**$103.67**	+33%
Bull	25%	22.0%	$70.45B	17.5%	**$173.82**	+123%

Bear: downside case at $60.01 (-23%).

Base: central case at $103.67 (+33%).

Bull: upside case at $173.82 (+123%).

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The probability-blended target implies 42% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +42% from the $77.94 reference price.

$110.29
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$31.80B**
Valuation horizon	**2026-2030**
Live WACC (Bear / Base / Bull)	**11.00% / 10.00% / 9.00%**
Terminal growth	**3.0%**
Net cash	**$6.88B**
2030 FCF (Base)	**$5.25B**
10-year Treasury yield	**5.1%**
Beta	**1.55**
Equity risk premium	**3.5%**

BUY | $110.29 BLENDED TARGET | WEN

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Sea Limited valuation framework

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 10.9%. between Bear (10%) and Base (16%), a cautious read

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$17.2B	$37.80	+10%	$41.2B	$75.40
-9%	$18.1B	$39.08	**+11%**	**$43.0B**	**$78.08**
-8%	$18.9B	$40.41	+12%	$44.7B	$80.86
-7%	$19.8B	$41.80	+13%	$46.6B	$83.74
-6%	$20.7B	$43.24	+14%	$48.5B	$86.71
-5%	$21.7B	$44.74	+15%	$50.4B	$89.78
-4%	$22.7B	$46.29	+16%	$52.4B	$92.95
-3%	$23.7B	$47.91	+17%	$54.5B	$96.23
-2%	$24.8B	$49.59	+18%	$56.7B	$99.62
-1%	$25.9B	$51.34	+19%	$58.9B	$103.12
+0%	$27.0B	$53.15	+20%	$61.2B	$106.74
+1%	$28.2B	$55.03			
+2%	$29.5B	$56.98			
+3%	$30.8B	$59.01			
+4%	$32.1B	$61.11			
+5%	$33.5B	$63.29			
+6%	$34.9B	$65.54			
+7%	$36.4B	$67.88			
+8%	$38.0B	$70.30			
+9%	$39.6B	$72.80			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$31.42B	—	3.0%	$6.88B	$38.30B	**$60.01**
Base	$59.28B	—	3.0%	$6.88B	$66.16B	**$103.67**
Bull	$104.05B	—	3.0%	$6.88B	$110.93B	**$173.82**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$60.01	$66.61	$71.40	$76.08	$80.65	$85.00
Base	$103.67	$114.04	$122.92	$131.53	$139.60	$146.70
Bull	$173.82	$189.46	$204.02	$218.22	$231.43	$242.78

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $110.29 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The SOTP cross-check: $175.42 per share

The workbook values each segment on its own operating basis (as of October 20, 2026), because the segments compound at different rates and carry different margin profiles. The Base case is shown.

COMPONENT	OPERATING BASIS	MULTIPLE	ENTERPRISE VALUE
Shopee (E-Commerce)	$153.20B	0.43x EV / GMV	$65.88B
SeaMoney / Monee (Digital Financial Services)	$11.10B	2.00x loan book	$22.20B
Garena (Digital Entertainment)	$2.00B	8.50x EV / adj. EBITDA	$17.00B
Total enterprise value			**$105.08B**
Plus: net cash			**$6.88B**
Implied equity value			**$111.95B**
Diluted shares			**638.2M**
SOTP value per share (Base)			**$175.42**

Shopee (E-Commerce): Shopee GMV, annualized of $153.20B (GMV +28.4% YoY), valued at 0.43x EV / GMV for $65.88B, 58.8% of equity value. SeaMoney / Monee (Digital Financial Services): SeaMoney (Monee) loan book of $11.10B (90+ day NPL 1.0%, loans +62.5% YoY), valued at 2.00x loan book for $22.20B, 19.8% of equity value. Garena (Digital Entertainment): Garena adj. EBITDA, TTM of $2.00B (Editable assumption input), valued at 8.50x EV / adj. EBITDA for $17.00B, 15.2% of equity value.

Against the DCF: the SOTP cross-check value of $175.42 per share versus the DCF Base target of $103.67, a difference of $71.75 (+69.2%).

Methodology note. Segment bases and multiples are the SOTP tab's scenario matrix in the model workbook (Base case); segment values are enterprise values before the net cash / debt bridge to equity value. See the SOTP tab in the workbook.

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Agency risk score 70 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 26.07% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $421.52M of sales, a net flow of -$421.52M. One-year total shareholder return is -48.7% against CEO total pay of $0 (Mr. Xiaodong Li), which the model scores as EXEMPLARY ALIGNMENT.

70
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	40 / 40	26.07% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $421.52M (101), net -$421.52M, trailing six months
Pay-for-Performance	30 / 30	EXEMPLARY ALIGNMENT: Founder Mode / Low Base Draw. 1Y TSR -48.7%; Mr. Xiaodong Li, Founder, Chairman & CEO, total pay $0
Agency Risk Score	**70 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-01	Zhao Feng	Officer	SELL	40,000	$3.80M
2026-09-22	Chen Jingye David	Officer	SELL	60,000	$6.17M
2026-09-18	Ye Gang	Chief Operating Officer	SELL	40,000	$4.08M
2026-09-18	Chen Jingye David	Officer	SELL	60,000	$6.09M
2026-09-17	Hou Tianyu	Chief Financial Officer	SELL	15,000	$1.52M
2026-09-16	Ye Gang	Chief Operating Officer	SELL	40,000	$4.16M
2026-09-16	Chen Jingye David	Officer	SELL	60,000	$6.24M
2026-09-14	Ye Gang	Chief Operating Officer	SELL	40,000	$4.31M

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Credit Cycle in the Loan Book

Loans outstanding grew 62.5% year on year to $11.1B. The 90+ day NPL ratio held at 1.0% in benign conditions, and the book has not been tested by a regional downturn. Provisions already scale with growth and would rise sharply if unemployment or FX stress hits Indonesia or Brazil borrowers.

EBITDA Margin Compression

Group adjusted EBITDA margin compressed to 11.8% in Q2 2026 from 15.8% a year earlier as Shopee reinvested in logistics and marketing. If competitive intensity from TikTok Shop and Temu persists, the margin recovery embedded in the base case arrives later than modeled.

Competitive Intensity in Commerce

Shopee leads across Southeast Asia, but TikTok Shop is scaling social commerce, Temu is pressing on price, and MercadoLibre defends Latin America. Share defense spending is a recurring claim on the commerce margin pool.

Garena Single-Franchise Concentration

Garena results still rest heavily on Free Fire. Bookings growth has already normalized from 51.1% in Q3 2025 to 15.5% in Q2 2026, and a franchise fade would remove the cash engine that funds group reinvestment.

Regulatory and FX Exposure

Sea operates under payments, lending, and e-commerce regulation across Indonesia, Vietnam, Thailand, the Philippines, Malaysia, Singapore, Taiwan, and Brazil. Local currency depreciation flows straight into reported USD results, and lending caps or payments rules can change unit economics quickly.

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The strengths

Operating Quality

Wide-moat ecosystem with a 44.7% group gross margin and a $6.88B net cash position, held back by a group operating margin of only 8.7% in the current reinvestment phase.

Recent Trend

Revenue growth re-accelerated to 48.1% in Q2 2026 with GMV up 28.4%, while EBITDA margin compressed and Garena bookings growth normalized to 15.5%.

Forward Growth

Shopee guides to around 25% GMV growth for 2026, Monee is compounding at near 60% revenue growth, and Brazil plus monetization depth give a long runway.

Valuation

At $77.94 the base case of $103.67 offers 33% upside, and the reverse DCF shows the market pricing in about 9% five-year revenue growth at the bridge-derived mature FCF margin, just below the bear case growth rate, while reported revenue co

Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 20-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Wide-moat ecosystem with a 44.7% group gross margin and a $6.88B net cash position, held back by a group operating margin of only 8.7% in the current reinvestment phase.	68
Recent Trend	Revenue growth re-accelerated to 48.1% in Q2 2026 with GMV up 28.4%, while EBITDA margin compressed and Garena bookings growth normalized to 15.5%.	62
Forward Growth	Shopee guides to around 25% GMV growth for 2026, Monee is compounding at near 60% revenue growth, and Brazil plus monetization depth give a long runway.	70
Valuation	At $77.94 the base case of $103.67 offers 33% upside, and the reverse DCF shows the market pricing in about 9% five-year revenue growth at the bridge-derived mature FCF margin, just below the bear case growth rate, while reported revenue compounds near 40%.	75
Catalysts & Risk	Q3 earnings and Monee listing optionality are live catalysts, balanced against an untested credit book and regulatory breadth across eight-plus markets.	60

Investment view

Sustained Shopee take-rate expansion with Monee credit costs contained would move the equity toward the bull case. A credit accident in the loan book or a Shopee share loss in core Southeast Asian markets would break the thesis and force a full model reset.

Investment view: Buy. The $110.29 blended target implies +42%, balancing the $60.01 / $103.67 / $173.82 Bear / Base / Bull outcomes.

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